Finance, Expense & Procurement Policy

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Owner: Finance Department, Northwind Dynamics Ltd.

1. Purpose and Approval Authority

This policy defines how company money may be spent, claimed and approved. All amounts are in US dollars (USD) unless stated otherwise.

1.1 Spending Approval Limits

Amount per transaction	Approver
Up to $500	Line manager
$500.01 to $5,000	Department head
Above $5,000	Chief Financial Officer (CFO)

Transactions must not be split to avoid approval thresholds. Retroactive approval is granted only in documented emergencies.

2. Travel and Expenses

2.1 Claim Deadline and Receipts

Expense claims must be submitted within 30 days of the expense date. Receipts are required for any single expense above $25. Late claims need CFO approval.

2.2 Per Diem and Travel Limits

Item	Limit
Domestic per diem (meals and incidentals)	$60 per day
International per diem	$90 per day
Hotel	Up to $180 per night
Personal car mileage	$0.60 per mile
Flights	Economy class for flights under 6 hours; premium economy allowed above 6 hours

2.3 Reimbursement Timing

Approved claims are reimbursed within 10 business days. Reimbursements are paid with the payroll run on the 25th of each month if approval is completed before the 15th.

2.4 Non-Reimbursable Items

Alcohol, personal entertainment, traffic fines and personal travel extensions are not reimbursable.

2.5 Corporate Cards

Corporate cards carry a monthly limit of $2,500 unless raised by the CFO. Cardholders must reconcile transactions within 7 days of month end.

3. Procurement

3.1 Purchase Orders and Quotes

A purchase order (PO) is required for any purchase above $1,000. For purchases above $5,000, at least three written quotes must be obtained, except for sole-source vendors approved by the CFO.

3.2 Vendor Onboarding

New vendors must complete the vendor form, tax documentation and a bank detail check. Vendor setup takes up to 7 business days. Payment terms are net 30 days from invoice receipt.

3.3 IT Purchases

Laptops, monitors and software licences are purchased only through IT Support using the IT budget. Department budgets must not be used to buy IT equipment directly. Software licences above $500 need Finance approval before IT can proceed (see IT-POL-2026).

3.4 Asset Capitalisation

Items with a cost of $1,000 or more and a useful life above one year are capitalised as fixed assets and tagged by Finance. Laptops are depreciated over 36 months.

4. Employee Allowances

4.1 Home Office Stipend

Employees approved for hybrid or remote work by HR may claim a one-time home office stipend of $400. The claim is submitted through the expense portal with receipts within 60 days of the approval date. Items eligible include a desk, chair, lighting and a keyboard. Computers and monitors are not eligible, as these are supplied by IT. The stipend may be claimed once during an employee's tenure.

4.2 Internet Allowance

Remote employees (not hybrid) may claim a monthly internet allowance of $30 with a copy of the monthly bill.

4.3 Training and Education

Finance does not set training budgets. Department heads decide training funding within their department budgets.

4.4 Relocation

Relocation assistance is not part of this policy and is decided case by case by the CFO and HR Director.

5. Budgets, Audit and Contacts

5.1 Annual Budget Cycle

Department budgets are proposed in September, approved by the CFO in November and take effect on 1 January. Unspent budget does not carry over.

5.2 Audit and Compliance

Finance performs quarterly spot checks on expense claims. Fraudulent claims lead to disciplinary action under the HR Code of Conduct (HR-POL-2026) and recovery of funds.

5.3 Payroll Deductions

Payroll runs on the 25th of each month. Deductions for unreturned company property follow HR offboarding rules.

Topic	Contact
Expense claims	expenses@northwind.example (ext. 4001)
Procurement and vendors	procurement@northwind.example (ext. 4010)
Payroll	payroll@northwind.example (ext. 4020)

6. Appendix and Revision History

6.1 Worked Example: Domestic Trip

A 3-day domestic trip with 2 hotel nights at $170 per night and per diem is reimbursed as: hotel $340 plus per diem 3 x $60 = $180, total $520. This exceeds $500, so the claim requires department head approval.

6.2 Revision History

Version	Date	Change
3.9	1 Jan 2025	Per diem raised to $60 domestic and $90 international
4.0	1 Jan 2026	Home office stipend set to $400; claim deadline set to 60 days

This document is fictional and was created for a RAG training assignment.